

Description & Eligibility

Contestants will apply accounting principles to analyze transactions, prepare accurate financial statements, and interpret data to support organizational decision-making. This application event is limited to secondary division contestants who have not completed their first year of accounting. Contestants may not enter Fundamental Accounting and Advanced Accounting in the same year. This event may *not* be repeated.

Contestant Must Supply

- Published and/or unpublished non-electronic written reference materials
- Sharpened pencils, pens, ruler
- Cordless calculator: Electronic devices will be monitored according to ACT standards. See NLC Calculator Guidelines. Contestants who violate this rule will be *disqualified*.

Equipment/Supplies Provided

- Computer and software

Competition Notes

- Method of evaluation: objective | application
- AI Policy Level 1 *No AI Allowed*
- No equipment, supplies, or materials other than those specified for an event will be allowed in the testing area.
- Previous Business Professionals of America tests and/or sample tests or facsimiles (handwritten, photocopied or keyed) may not be taken into the testing area. Violation of this rule will result in disqualification.
- Length of event: no more than ten (10) minutes for orientation, no more than ninety (90) minutes for testing, and no more than ten (10) minutes for wrap-up
- Entries vary by state

Contest Competencies

1. Apply the steps of the accounting cycle to accurately process financial transactions and explain their relevance in maintaining organizational financial integrity
2. Apply the fundamental accounting equation to analyze financial transactions and ensure accuracy in reporting
3. Apply accounting standards to evaluate and report the value of assets, liabilities, and owner's equity in accordance with GAAP
4. Explain key accounting concepts and articulate the role of accounting systems in supporting financial decision-making and organizational accountability
5. Analyze accruals and deferrals to ensure accurate financial reporting and alignment with accounting principles and timing requirements
6. Prepare and interpret financial statements and reports to assess organizational performance and support strategic decision-making
7. Apply adjusting and closing entries to update accounts and ensure accurate period-end financial reporting
8. Evaluate various forms of business ownership to determine their legal, financial, and operational implications for organizational decision-making
9. Evaluate the characteristics and operational models of service and merchandising businesses to guide financial practices and strategic decision-making
10. Analyze purchase and sales transactions for merchandise to ensure accurate recording and inventory management

11. Evaluate uncollectible accounts to determine appropriate accounting treatment and ensure compliance with financial reporting standards
12. Apply appropriate depreciation methods to plant assets to ensure accurate financial reporting and compliance with accounting standards
13. Utilize general and subsidiary ledgers to organize and track detailed financial data, supporting accurate reporting and efficient account management
14. Apply periodic inventory methods to calculate cost of goods sold and evaluate inventory performance in alignment with accounting standards
15. Analyze financial performance using key ratios and dashboards, integrating data visualization tools and benchmarking techniques

